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Welcoming remarks - Malaysia's Designated Non-Financial Businesses and Professions (DNFBP) Compliance Conference 2026

By Marzunisham Omar

TYPE

Speech

SUBTYPE

Central banker's speech

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Malaysia

Welcoming remarks by Mr Marzunisham Omar, Deputy Governor of the Central Bank of Malaysia (Bank Negara Malaysia), at Malaysia's Designated Non-Financial Businesses and Professions (DNFBP) Compliance Conference 2026, Kuala Lumpur, 22 October 2026.

Distinguished guests, representatives of regulatory and supervisory agencies, professional bodies, industry associations, and members of Malaysia's Designated Non-Financial Businesses and Professions (DNFBP).

It is my pleasure to welcome you to the DNFBP Compliance Conference 2026.

This year marks an important milestone in Malaysia's fight against financial crime. Since the enactment of the Anti-Money Laundering Act in 2001. 25 years ago, we have spent a quarter century strengthening our laws, institutions and capabilities against money laundering, terrorism financing and proliferation financing.

Over the 25 years, one lesson becomes increasingly clear. Regulators, law enforcement agencies and financial institutions cannot fight financial crime alone.

Long before illicit funds reach financial system, a company may be incorporated. A transaction may be structured. A legal arrangement may be created. A professional service may be sought. Each of these moments, someone is standing at the gate.

Malaysia therefore needs the judgement, diligence and professionalism of all those who help shape our corporate and legal landscape. This is why your presence today matters.

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you in this room, in a critical position within our fight against financial crime.

The recent conclusion of Malaysia's Mutual Evaluation reaffirmed the importance of this role. DNFBPs are not merely participants in the AML/CFT/CPF framework. You are well placed to detect, prevent and report illicit activities before they enter the financial system.

This responsibility has never been more important. Financial crime is increasingly driven by highly organised criminal networks operating across borders. They leverage on technology, exploit legal structures and continuously adapt their methods. They study our controls and framework. They identify weaknesses and adjust approaches in response to our safeguards. When one avenue is closed, they quickly search for another. They continuously look for the gate where scrutiny is weakest.

Across the region, we are seeing sophisticated criminal networks are increasingly exploiting professional services and legitimate business structures to conceal ownership, integrate illicit proceeds and make criminal activities appear legitimate. A recent Transnational Organized Crime Threat Assessment for South-East Asia by UNODC identifies lawyers and accountants among the specialist facilitators within these criminal networks, operating on a contractual basis and providing enabling services to criminal organisations.

Another emerging risk that deserves particular attention is the growing use of corporate mules. Data from the National Fraud Portal points to a rise in corporate mule accounts, reflecting how criminal networks are increasingly exploiting corporate entities to conceal illicit financial flows.

Ladies and gentlemen,
Every ringgit that criminals successfully laundered strengthens criminal enterprises and weakens trust in our institutions. When a professional identifies suspicious activity, refuses to facilitate a questionable arrangement, or submits a suspicious transaction report, that professional is doing far more than meeting a regulatory requirement. They are closing a gate that criminals were attempting to enter. In doing so, you are helping to protect businesses, communities and our country.

More than ever, professionals form a vital first line of defence against financial crime. This responsibility goes beyond procedural compliance; it requires professional scepticism, asking

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judgements.

As professional services become increasingly digital, these responsibilities become even more critical. Digital onboarding, virtual business relationships and cross-border service delivery have improved efficiency and accessibility. But they also create new opportunities for criminals to conceal identities, misrepresent information and establish seemingly legitimate business relationships. In this environment, our vigilance must evolve alongside technology.

Effective vigilance, however, goes beyond reviewing transactional activity. It requires a deeper understanding of customers, their business activities and the broader context in which they operate. This calls for a risk-based approach. One where professionals recognise behavioural, structural and situational red flags that may indicate potential misuse of their services.

Ladies and gentlemen,

An effective AML/CFT/CPF framework depends not only on strong laws and sound policies, but also on credible supervision and enforcement. This is why Bank Negara Malaysia takes non-compliance seriously. Weaknesses in one part of the system can compromise the integrity of Malaysia's entire AML/CFT framework.

Recent joint enforcement actions involving regulatory and law enforcement agencies reinforce this point. Bank Negara Malaysia and the Companies Commission of Malaysia recently took enforcement action against a company secretary for failing to submit suspicious transaction reports relating to foreign nationals suspected to be involved in an international scam syndicate.

A Labuan investment bank was subjected to enforcement action by Bank Negara Malaysia and the Labuan Financial Services Authority following material deficiencies in customer due diligence that affect the firm’s ability to assess customer’s potential involvement in illicit overseas activities and delays in the submission of suspicious transaction reports.

These cases may involve different sectors and circumstances, but they convey the same message: Weak due diligence, vigilance and reporting create space for criminals to operate

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Compliance must therefore be viewed not simply as a regulatory obligation. It is a professional responsibility. Indeed, I would go one step further. AML/CFT compliance is part of the broader duty to uphold the trust placed in every profession represented here.

With that trust comes responsibility. Every client you accept, every company you incorporate, every transaction you review, and every suspicious activity you report is an opportunity to protect the integrity of the system. Individually, these may appear to be routine decisions. But collectively they shape the integrity of Malaysia's financial and corporate system.

Ladies and gentlemen,

The fight against financial crime ultimately depends on cooperation. No regulator, law enforcement agency or professional service provider can succeed alone. Our defences are strongest when our different perspectives are connected. Only through strong partnerships, meaningful information sharing and collective vigilance can we effectively respond to increasingly sophisticated financial crime threats.

This collaboration will become even more important as we move forward. In 2027, Bank Negara Malaysia will undertake the next iteration National Risk Assessment, which will enable a deeper assessment of the money laundering and terrorism financing risks facing the DNFBP sectors. The findings will support the development of more targeted policies, guidance, and mitigation measures tailored to the specific risks faced by each sector. Your practical insights will be essential. They will help ensure that our policy responses remain effective, proportionate and grounded in the realities faced by each sector.

I would also like to express our sincere appreciation to relevant regulatory agencies, professional bodies and industry associations for their continued cooperation and support. In particular, we thank the Companies Commission of Malaysia, the Malaysian Bar Council, the Malaysian Institute of Accountants, as well as the various industry associations represented here today.

Your work in promoting awareness, facilitating outreach and supporting capacity building has strengthened the resilience of the sector and the community. Let us now build on that partnership, not only by sharing information after risks materialise, but by identifying vulnerabilities earlier and managing them together.

Let me conclude.

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But there is one thing they cannot easily overcome: A community of professionals committed to integrity. They cannot overcome professionals who ask critical questions. They cannot overcome a culture where suspicious activities are questioned rather than ignored. And they cannot overcome institutions that share information and act with a common purpose. In short, they cannot overcome a system in which every gate is guarded with sound good judgement, vigilance and courage.

Let us leave this conference with a renewed sense of purpose, a stronger commitment to vigilance, and a shared determination to protect the integrity of Malaysia's financial and corporate system.

Each of us stands at a different gate. But all of us protect the same system. Together, let us keep that system worthy of the trust Malaysia places in it.

Terima kasih and I wish you a productive conference.

The views expressed in this speech are those of the speaker and do not necessarily reflect those of the BIS.

Authors

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Deputy Governor

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